Sales Tax or VAT



It is an indirect tax on sale of goods because liability to collect tax is that of shopkeeper but the burden of that tax falls on the customer. The shopkeeper realizes the tax amount from the customer by including it in the price of the commodity that he sells.

Excise Duty



It is paid by the producer of goods, who recovers it from wholesalers and retailers. This tax in India is levied by the Central Government.

Entertainment Tax



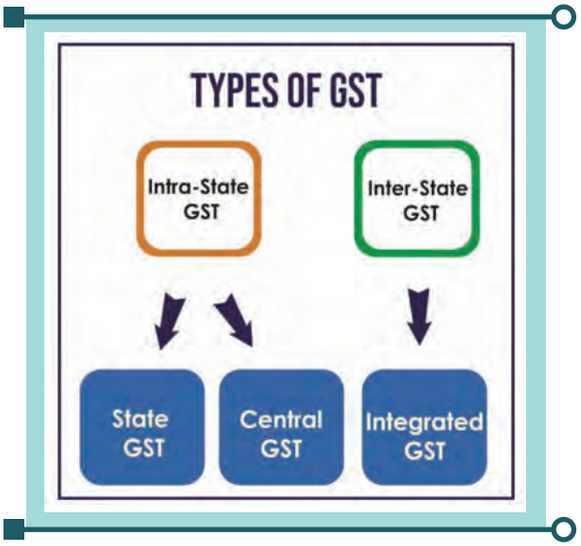
The state governments charge such tax on every transaction related to entertainment.

Some examples are movie tickets, video game arcades, stage shows, exhibitions, amusement parks, and sports-related activities.

Goods and Services Tax (GST)



Goods and Services Tax is a kinds of tax imposed on sale, manufacturing and usage of goods and services. This tax is applied on services and goods at a national level with a purpose of achieving overall economic growth. GST is particularly designed to replace the indirect taxes imposed on goods and services by the Central and State.



7th Std - Social Science Term III Economics Uni 1 EM.indd 213 11-11-2019 12.39.28 PM